

The Information Daily Briefing - 2026-10-02

Coverage window: The Information newsletters received in the 24 hours to 08:00 GMT+8, 2 October 2026 (The Information AM, AI Agenda, Applied AI, The Briefing, the SpaceX AI exclusive and the Meta topic digest). The full-article pages on theinformation.com were behind a bot-verification check during this run, so this briefing draws on the newsletter text. Not investment advice.

Top stories

1. Micron's revenue nearly quintuples as HBM stays sold out

- **What:** Micron's revenue for the quarter ended 3 September rose almost 5x to **\$54.2bn**. Gross margin nearly doubled to **86.8%** and free cash flow reached **~\$33bn**, up from **~\$17.5bn** the quarter before. That is more than Apple's \$32bn in the July quarter and above Nvidia's latest figure.
- **Why:** Demand for high-bandwidth memory (HBM) for AI accelerators is outrunning supply. Price increases and long-term agreements (LTAs) signed this year with cloud providers have made the memory makers dependable cash generators for now.
- **When:** Reported 30 September and covered on 1 October. HBM is described as effectively sold out through next year. The real test comes in a few years, when the LTAs start to expire.
- **Which:** Micron (MU). By implication, SK Hynix and Samsung (all three major HBM suppliers invested in Anthropic's latest round). Nvidia, Meta and Apple are feeling the cost.
- **How:** Memory costs are spreading through the stack. Nvidia has tested reduced-memory versions of Rubin Ultra, its chip-system prices are rising **~17%** partly because of memory, and Meta and Apple have flagged hardware price increases.
- **Link:** [Revenue Quintupled at AI Memory Maker Micron](#)

2. Meta's Muse passes 3m weekly users, but monetisation is unproven

- **What:** Internal data shows Muse has **>3m weekly users who prompt it, >4m total weekly users** and **>1m prompting DAU**. A week after launch it had **~500k weekly users** and **~250k DAU**. Meta stock is up **~27%** since the 8 September launch.
- **Why:** Muse is Meta's bid to lead agentic consumer AI and agent-led commerce. The open question is whether it becomes a business. Meta wants a cut of purchases made through Muse, Amazon has already blocked it, and one analyst estimate says users would need to spend more than **\$1,000/month** for Muse to be profitable.
- **When:** Data reported 1 October. The Information's Meta digest says usage retention and willingness to pay over the next few months will decide the question.
- **Which:** Meta (META), Amazon (AMZN). Rivals include SpaceXAI's Grok Bot (beta since August), OpenAI's Dots always-on agents (launched at DevDay this week) and the startup Instinct.
- **How:** Most prompts come through the app rather than the web. Meta is also adding AI subscriptions and an enterprise push, and plans camera-free smart glasses in response to privacy concerns.
- **Links:** [Muse Tops 3 Million Weekly Users](#) · [Meta's Muse Tries \(and Fails\) to Disrupt Amazon](#) · [Why Meta's Moment in the AI Sun Won't Last](#) · [Camera-Free Smart Glasses](#)

3. Google launches Gemini 4 Argon at a large discount to rivals

- **What:** Google launched **Gemini 4 Argon**, its first new frontier flagship since Gemini 3 (November 2025). It targets cyber defence, coding, legal and finance work. Introductory pricing is **\$2 per million input tokens and \$10 per million output tokens**, doubling after the teaser period. Even the doubled rate is well below OpenAI's GPT-6 Astra and Anthropic's Claude Fable 5.1.
- **Why:** Google needs to show it can close the capability gap with Anthropic and OpenAI. Pricing is its weapon in the ongoing frontier price war.
- **When:** Announced 30 September. It goes first to cyber-security partners in Google's Fairwind Program, and wider release follows once safeguards are ready (no timeline given).
- **Which:** Alphabet (GOOGL), OpenAI, Anthropic. In robotics, Boston Dynamics and other partners run Gemini Robotics.
- **How:** In robotics, DeepMind CEO Koray Kavukcuoglu describes an "Android" approach: put Gemini intelligence into many partners' robots rather than build one flagship humanoid as Tesla and Figure are doing. Waymo is cited as the proof point. Separately, a federal judge dismissed antitrust suits from Chegg and Penske Media over AI Overviews.
- **Links:** [Gemini 4 Argon](#) · [Applied AI: Google Goes Android to Tesla's Apple](#)

4. Cracks appear in AI's debt-funded data-centre boom

- **What:** Major data-centre lenders, including **Société Générale, SMBC and MUFG**, are becoming more selective about which deals they take on. The same week, data-centre builder **Accelevation** priced its IPO at **\$18**, below its \$20-24 range, and fell to **\$16.59** by Thursday's close. It carries \$647.8m of debt against \$28m of cash.
- **Why:** Market volatility and steadily rising yields are pushing lenders toward safer deals. That narrows the bank syndicate available for the multibillion-dollar loans AI infrastructure needs.
- **When:** Reported 1 October. Bloomberg reports Anthropic is targeting a **mid-November** IPO, which will test the market.
- **Which:** These banks led Oracle/OpenAI financings: SocGen led \$7.1bn for the first Stargate site, MUFG co-led \$38bn for two Oracle projects, and SMBC co-led \$18bn for Oracle's New Mexico project. Also affected: Oracle (ORCL), neoclouds, and **Sharon AI**, which took a \$356m GPU-backed loan at **9.95%** before fees.
- **How:** The cost of capital for speculative capacity is rising. Credit is moving toward GPU-collateralised, high-coupon structures and private credit. For example, PaleBlueDot AI is seeking \$600m from lenders including Brookfield for a Korean site serving Xiaohongshu.

- **Links:** [Banks Pull Back From Data Center Loan Deals](#) · [The Briefing: Microsoft's Exodus / IPO waters](#)

5. SpaceX's AI unit becomes a neocloud and courted Microsoft

- **What:** SpaceX's AI unit held talks over the summer about leasing computing capacity to **Microsoft**. The current status of those talks is unclear.
- **Why:** Selling compute has quickly become one of SpaceX's most lucrative businesses. Musk has embraced it after initial reluctance.
- **When:** Talks took place in the summer and were reported 1 October. More contracted deals are still to kick in.
- **Which:** SpaceX/SpaceXAI. Anthropic and Google are existing customers. Microsoft (MSFT) is a prospective one.
- **How:** Compute-constrained labs are committing **billions of dollars a month** to SpaceX's capacity, putting it in direct competition with CoreWeave, Nscale and the hyperscalers.
- **Link:** [How SpaceX's AI Unit Turned Itself Into an AI Cloud Firm](#)

6. Senior executives continue to leave Microsoft

- **What:** **Ryan Roslansky** (EVP of Office apps) will leave at year-end, a day after Microsoft Science President **Peter Lee** announced his exit. Earlier departures this year include Rajesh Jha, Phil Spencer, Frank Shaw and Charlie Bell.
- **Why:** Veterans are cashing out (the stock is up ~1,289% since 2014) while AI threatens parts of the software business. CEO Satya Nadella is promoting younger leaders: Asha Sharma (gaming), and Charles Lamanna and Jacob Andreou (Copilot).
- **When:** Lee's exit was announced 30 September and Roslansky's 1 October. The Briefing expects more departures.
- **Which:** Microsoft (MSFT).
- **How:** This is a generational leadership handover during the AI transition. Execution risk rises in Office/Copilot just as Copilot pricing comes under pressure.
- **Link:** [Peter Lee to Step Down](#)

7. China: DeepSeek moves onto Huawei, OpenAI accuses Moonshot of distillation, Tencent rents Oracle GPUs

- **What:** DeepSeek is open-sourcing tooling for **Huawei** AI chips, including a TileLang port plus compute and communication libraries. OpenAI says it disrupted a "**coordinated model-distillation campaign**" linked to Moonshot AI, which peaked at 16,000 requests from 4,000+ users on 24-25 July and was fully disrupted by 28 July. **Tencent** signed a **~\$7bn, five-year lease with Oracle** for ~100k advanced chips in Southeast Asian data centres, with ~30% paid upfront.
- **Why:** US export controls are pushing China to build domestic compute stacks, to rent offshore capacity, and in some cases to extract reasoning from US models.
- **When:** Huawei training chips could reach DeepSeek as early as Q4 2026. OpenAI's disclosure came 1 October.
- **Which:** Huawei, DeepSeek, Moonshot (Kimi), Tencent (0700.HK), Oracle (ORCL), Nvidia (NVDA).
- **How:** The Huawei "supernode" systems were co-developed with DeepSeek. The Oracle lease routes Chinese demand through non-China data centres, which carries policy and headline risk.
- **Links:** [DeepSeek Open-Sources Tools for Huawei Chips](#) · [OpenAI Accuses Moonshot](#)

8. Coding agents are pushing Vercel past \$600m ARR, plus private-market deals

- **What:** Vercel's annualised revenue is **\$600m**, up 148% year on year and up from \$500m in July. Coding agents (Claude Code, Cursor, Codex) now drive about **half of new business**, versus less than 3% at the start of the year. It has **485k** paying customers and intends to IPO (no timeline). Other deals: an **ElevenLabs** tender at **\$22bn** (double its February valuation). **Nvidia and SoftBank** have each made their final \$10bn payments into OpenAI's \$122bn round. **Novig** raised at \$2bn, and CScale raised \$145m (Series C).
- **Why:** Agents default to the tools they learned from (Next.js), which favours usage-priced, high-gross-margin developer infrastructure.
- **When:** Reported 1 October.
- **Which:** Vercel (private, last valued at \$9.3bn). Competitors include Cloudflare (NET), Netlify, Amazon (AMZN) and OpenRouter (being acquired by Stripe).
- **How:** Usage-based pricing is replacing seat subscriptions. Vercel's AI SDK is downloaded ~33m times a week, third behind OpenAI's and Anthropic's SDKs.
- **Link:** [Why Coding Agents Are Choosing Vercel](#)

Also noted

- **Apple** will launch a ~6-inch smart-home hub on **13 October** that showcases the overhauled Siri, alongside a new HomePod mini and Apple TV. ([link](#))
- **OpenAI** fired three safety employees for mishandling corporate data. An OpenAI executive also backed out of a second \$25m super-PAC donation.
- Factory's founder is in a dispute with Cognition over a key hire (Dealmaker).

Overall market trend, development and sentiment

Trend: The AI trade is splitting. **Scarce inputs** such as HBM memory and contracted compute (Micron, SpaceX's neocloud, the Tencent-Oracle lease) are capturing large margins. Meanwhile, **financing for speculative capacity is tightening:** banks are pulling back, a data-centre IPO priced below range, and GPU loans carry ~10% coupons. At the application layer, **prices keep falling** (Gemini 4 Argon) while **agentic distribution** (Muse, Dots, coding agents on Vercel) is the new battleground.

Developments: Google is back at the frontier with price-led competition. Consumer agents are gaining real usage but not yet revenue. China's domestic compute stack (Huawei plus DeepSeek) is maturing. Microsoft's leadership is turning over

during the AI transition. The IPO window is choppy, with Anthropic targeting mid-November.

Sentiment: Cautiously constructive, with more attention on credit. Results like Micron’s confirm demand, but rising yields, bank selectivity and weak IPO pricing show capital is becoming more discriminating.

Key questions being asked and how they were addressed

Question	How it was addressed
Is AI memory demand peaking?	No sign yet: HBM is sold out through next year under LTAs. The test comes when LTAs expire in a few years.
Can Muse make money?	Unproven. Amazon blocked commerce cuts, and the analyst break-even estimate is >\$1k/month of spending per user. Usage is strong (3m+ weekly prompting users).
Can Google stay in the frontier race?	Argon targets cyber, coding and finance at a steep discount. Capability versus GPT-6 Astra and Claude Fable 5.1 is still unproven, and the release is gated.
Is data-centre debt financing drying up?	Partly. Big lenders are more selective and coupons are rising, while private credit and GPU-backed loans fill the gap at higher cost.
Is the IPO window open?	It is choppy. Accelevation’s weak debut contrasts with Anthropic’s mid-November target, and the outcome depends on rates and volatility.
Is Microsoft losing execution capacity?	Veteran exits are piling up. Nadella is leaning on younger leaders, and execution risk is concentrated in Office/Copilot.

Key risks

Risk	Detail	Most exposed
Rising rates and tighter credit	Bank pullback narrows loan syndicates and slows projects	ORCL, neoclouds, Accelevation, data-centre developers
Memory cost squeeze	HBM pricing compresses hardware margins and drives price hikes	NVDA, AAPL, META hardware
Memory cyclicity	LTAs eventually lapse while new capacity is added	MU, SK Hynix, Samsung
Monetisation gap	Agent usage without commerce take-rates or subscriptions	META, OpenAI
China policy and IP	Distillation claims, export controls, offshore GPU leasing	ORCL (Tencent lease), NVDA, Chinese AI labs
Talent and execution	Senior exits during the AI transition	MSFT
Frontier price war	Argon undercuts rivals, compressing API pricing	OpenAI, Anthropic, API resellers

Potential investment implications (companies mentioned)

Company	Lean	Rationale
Micron (MU)	Constructive	Record margin and FCF, sold-out HBM and LTA visibility. Watch for peak-margin and capex-cycle risk.
SK Hynix / Samsung	Constructive	Same HBM tailwind as Micron, plus Anthropic exposure.
Nvidia (NVDA)	Neutral-to-constructive	Demand intact and OpenAI round completed, but memory costs pressure system pricing and margins. Huawei/DeepSeek is a long-term threat in China.
Meta (META)	Constructive, with stretched near-term expectations	Muse traction is real, but the 27% rerating already prices in success and monetisation is unproven.
Alphabet (GOOGL)	Constructive	Back at the frontier with aggressive Argon pricing, the AI Overviews antitrust win and robotics optionality.
Microsoft (MSFT)	Neutral	Azure benefits from AI demand, but leadership churn and Copilot pricing pressure weigh. It is a potential SpaceX compute customer.
Oracle (ORCL)	Cautious	The Tencent \$7bn lease adds backlog, but lender pullback raises financing costs and the China exposure adds policy risk.
Amazon (AMZN)	Neutral	Defending commerce against Muse and

		competing with Vercel.
Apple (AAPL)	Neutral	Smart-home hub launches 13 October in a crowded market, with memory-cost headwinds.
Cloudflare (NET)	Neutral-to-constructive	Developer and agent hosting is growing quickly (Vercel at \$600m ARR), but competition is intense.
SoftBank (9984.T)	Neutral	\$30bn OpenAI commitment now fully funded, so its value is tied to the OpenAI IPO path.
Tencent (0700.HK)	Neutral	Secured offshore compute, but exposed to US policy risk.
SocGen / SMFG / MUFG	Neutral, credit-positive	Becoming more selective lowers tail risk from AI-infrastructure lending.
Accelevation	Avoid / cautious	Loss-making and highly levered, trading below its IPO price.
Private watchlist	—	Vercel (IPO candidate), ElevenLabs (\$22bn), SpaceX AI compute, Anthropic IPO (mid-November target).

This briefing is for information only and is not investment advice.